

79% of millionaires invest *inside* a company plan and **74%** invest *outside* a company plan, meaning most of them invest in *both*.

First, if your company offers a match on your 401(k), you should invest in your 401(k) *up to the match*. So, if your company matches 4%, you'll contribute 4% of your income there to take advantage of that free money. If your company offers a Roth 401(k) option, that's the one to go with. I'll explain the ins and outs of the 401(k) below. For now, just know that the 401(k) match is your starting point.

Second, above the 401(k) match, you'll move to a Roth IRA. A Roth IRA is an amazing retirement option that enables your money to grow *tax-free*. You'd set this up on your own, separately from the 401(k), so talk to an investment professional for help. This is also where you'd *start* investing if your company does not offer a 401(k) match. The Roth IRA works pretty much the same way as a Roth 401(k). The main difference is that an IRA gives you more fund options to choose from than what your company offers inside their 401(k) plan. There's a maximum contribution limit for Roth IRAs (\$5,500 per person under age fifty as of 2018). If you're married filing jointly, though, both spouses can have a Roth IRA—even if one doesn't work. So, each spouse could max out a Roth IRA in their name up to \$5,500 each, or \$11,000 total (as of 2018). After matching the 401(k) and putting up to \$11,000 into a Roth IRA, most couples hit their 15% contribution goal right here.

Third, if you max out the Roth IRA and *still* haven't hit 15% of your income in contributions, then go back to the 401(k) and finish your 15% there. One quick note on income, though. You can't open a Roth IRA if your income is too high (\$135,000 individually or \$199,000 for married